

Islamic University of Technology (IUT)

Islamiat

Hum 4145/4137



What do you know about Economy????
What do you know about Economic System in Islam???

(Q:Talk about the existence of Economic System in Different Religions)

- Ibadaats

- Purification

- Prayer/Salah

- Zakah

- Economic System In Islam

(Q: How Zakah is Connected to Islamic Economy?)

- **Islamic Economics/ Economic System In Islam**
- Definitions
- Nature and scope
- Evolution of Islamic economics
- the principles and objectives of Islamic economics
- Islamic Modes of Financing
 - Murabaha
 - Mudarabah
 - Ijarah
 - Istisna and Salam
 - Bai Muajjal

What is the definition(s) of Islamic economics?

There is no short cut answer. The idea of Islamic economics was quite common and widely practiced from the beginning of the life time of Prophet Muhammad sm. However, studying Islamic economics as an academic discipline is a recent phenomenon. Therefore, it is yet to reach the stage of unification of subject matter, scope and boundaries of study. So far, there is no consensus on the definition of Islamic economics and in fact, its body of knowledge is yet to be clearly constructed.

Although, Islamic economics has been defined differently by different scholars, yet Some of these definitions are given below:

- Islamic economics is a branch of knowledge which helps realize human well-being through an allocation and distribution of **scarce resources** that is in conformity with Islamic teachings without unduly curbing individual freedom or creating continued **macroeconomic and ecological imbalances**.

--**Dr. Mohammad Umar Chapra**

- Islamic Economics is an academic discipline that reconciles between **men's material and spiritual needs and resources** provided by Allah in accordance with principles and objectives of Islamic Shariah in order to **achieve prosperity Here and Hereafter.**

--Dr. Ashraf Muhammad Dawabah

"Islamic economics is the knowledge and application of injunctions and rules of the Shariah that prevent injustice in the acquisition and disposal of material resources in order to provide satisfaction to human beings and enable them to perform their obligations to Allah and the society."

-----S. M. Hasanuz Zaman

(obligations to Allah- Hajj and the society - Zakah)



Evolution of the concept of Islamic economics

Although the Islamic economics emerged in mid-twelve century of common era or late fourteenth of Hijri year, yet the concept of Islamic economics has been integral part of Islam from the inception of Prophet Muhammad's mission as he developed a **market policy in the city of Madina based on the principles eradication usury, monopoly, and all kinds of deceive and encouraging Jakah, instilling the notion of justice in business dealings, ensuring personal property rights**, as well as setting necessary rules regarding production, distribution and consumption.

Books on Islamic Finance

At the time of sahaba (companions of Prophet sm), and Tabiyeen (the generation after sahaba) the concept of financial dealings commonly known as *fiqh al-Mua'malat* became well spread due to the extension of the frontier of Islamic state and a number of books had been authored in Islamic economics by shariah experts, historians and sociologists. The prominent jurist Abu Yusuf wrote “ Al-Kharaj”, Muhammad ibn Hasan Al-shaibani wrote “Al-Iktisab fir Rizq al-mustatab”

(Radiallahu Anhu= ony for Sahabah,

Rahimahullah / Rahmatullahi

A'laihi=Tabiyeen / Scholars / so on

Damat Barakathum / Gufira Lahu / Hafizahullah)

Muhammad ibn Habib al-Mawardi wrote “Ahkamus Sultaniyah” and “Al-Mudarabah”.

In addition, many shariah experts included chapters on Islamic economics in their writings such as Imam Abu Hamed al-Gazali in his “yahya al-ulum al-ddin” or “The Revival of Religious Knowledge”, and Ibn Taymiyyah in “As-Siyasah al-Shariyah” or the “the Policy of Shariah”.

A Forgotten Fact- A Conspiracy

In the late eighth century of Hirji year and in the beginning of ninetieth century the entire sociological perspective as well as economics have been evolved with the pioneering Muslim sage **Ibn Khaldun (d. 1404 CE). He wrote the *Muqaddimah*** (the prolegomena) far earlier than **Adam Smith** commonly designated as the father of economics by the west who's book "wealth of the Nation" was published in 1776 CE.

Afterword another important Indian Islamic scholar named Shah Waliullah (d. 1762 CE) contributed in the realm of Islamic economics through his penetrating insight in his famous book *Hujjatullahil Al-Baligah* (the conclusive evidence of Allah).

From the time of Ibn Khaldun various branches of Islamic knowledges including Islamic economics have been flourished tremendously until tenth century of common era. Then Islamic economics started to decline especially after the fall of the Ottoman empire in 1924.

Then after the World War II, and the second half of the twentieth century the colonial regimes have been came to the end and Muslims again felt the necessity to establish independence in every domains including economics. However, in some Muslim countries, the authority adopted either the concept of capitalism or communism in their economic sector. Some countries also tried to merge in these two concepts mainly due to the intellectual impact of the colonizers.

International Conference on Islamic Banking

However, some Muslim scholars made valuable efforts to develop the idea of Islamic economics and contributed to the promotion of Islamic banking, economic values, Zakah management and so on.

These efforts culminated in a number of international conferences, seminars on Islamic economics and in top that was the first international conference on Islamic economics organized by the King Abdul Aziz University in Makkah in February 1967.

Islamic Banks

Likewise around 350 Islamic banks were established in different Muslims countries in the 1960s. Besides, some Muslims countries also adopted the Islamic economics system after the flair of socialism such as Pakistan, Sudan and Iran. The failure of capitalism is also marked due to its role and impacts on the outbreak of economical recession in 2008 CE.



Principles and objectives of Islamic economics:

1. Being the vicegerent (representative) of Allah in the earth.
2. Preservation of wealth and its growth.
3. Economic development
4. Social development
5. Economic Balance in the society

Being the vicegerent (representative) of Allah in the earth:

Allah created the mankind and made them the vicegerent of Allah in order to worship Allah as well as to make the earth suitable for living by preventing all harmful things and engendering all beneficial things. Islamic economics is regarded as one the means to fulfill this responsibility of being vicegerent of Allah in the earth.

Allah says:

“And when your Lord said to the angels, "I will create a vicegerent on earth." They said, "Will You place therein one who will spread evil therein and shed blood, while we sing Your praises, glorify You, and uphold Your absolute authority?" He said, "I know what you do not know”.

(2:30)

Prophet Muhammad sm said:

“The world is sweet and green (alluring) and verily Allah is going to install you as vicegerent in it in order to see how you act”.

(Sahih Muslim)

ليبلوكم أيكم أحسن عملا!

Being the vicegerent of Allah on earth means to make the earth a suitable place for living and to utilize the resources of the earth for his own benefits as well as for society. A Muslim should also believe firmly that he has only the right to deriving benefit from he is not the real owner of these. Rather the absolute ownership of these resources belong to Allah alone. Therefore, he does not use these resources for any prohibited or harmful purposes. **He considers the wealth as means of living on the earth not the ultimate goal of life.** And through his wealth he recognizes the blessing of Allah. So he don't become arrogant.

لله في يدي

Preservation of wealth and its growth:

The rules of Shariah aim at preserving the five basic elements of human life, namely religion, soul, reason, and wealth.

Preservation of wealth is an important element of **maqasid al-Shariah or the objectives of shariah** as it is interlinked with the rest of the purposes. For, instance, Hajj is a basic part of religion and wealth is a prerequisite of it. Likewise wealth is required for preservation of reason through the expenditure of education and treatment for mental well being and so on.

Allah says:

“O you who believe, do not consume each others' properties illicitly - only mutually acceptable transactions are permitted. You shall not kill yourselves. GOD is Merciful towards you”.

(4:29)

Therefore, Islam provides the mechanism of the growth of wealth including various kinds of business, investments etc, as well as preservation of wealth of individual which will consequently leads to preservation of Muslim Ummah.

Economic development:

Economic development is regarded one of the objectives of Islamic economics. Making the earth suitable depends to a large extent on the economic development through proper utilizing of natural resources and prioritizing the needs.

Islam emphasis on the growth of recourses, creating a group of business experts and skilled workforces, as well as instilling the idea of self sufficiency rather than unemployment.

In order to achieve economic development, Islam recommend prioritizing of the needs of individuals and society by maintaining three categories, namely necessity, needs and luxury.

Necessity: this includes the basic requirements of life in order to preserve one's life, reason and religion. This necessity encourages Muslims to investments, various projects to secure wealth, and projects to provide the basic needs such as **food, shelter, education, and health care**. Fulfilling these necessities are considered to be *Fard Kifayah*. (*Food, Shelter, Education, Healthcare*)

Needs: these are the things that makes one's life easier and lessen the difficulties. One can lead his life without these needs but with difficulties to certain extent. Fulfilling these needs are considered to be *Mustahab*. (**Car**)

Luxuries: these the things that make life more comfortable but avoiding extravagance. These include the things that people usually don't require such as well decorated apartments, expensive cloths etc. These fall under the category of *Mubah* (Mubah/permissible).

Muslims are required to consider this prioritization policy in every aspects of economics including production, distribution and consumption.

Social development:

Economic development and social development are the two sides of the same coin. Islamic economics aims at addressing a number of social issues such as bridging the gap between the wealthy and underprivileged, curbing the unemployment rate, providing adequate health care, education, accommodation and security.

Social development should be achieved through a number of principles. One of such principle is the prophetic instruction as the prophet (PBUH) said:

“There should be neither harming nor reciprocating harm“

(Musnad Ahmad)

Therefore, any types of development project that harm individuals, or cause environmental damage e.g. air pollution, Deforestation, water pollution, degradation of moral values of character are prohibited in Islam.

One of the manifestation of such social balance in Islam is the one that prophet Muhammad sm established in the city of Madina. He stricked the balance between the Muhajirun (who migrated from Makkah) and the Ansar (who received them in Madina) by proper sharing the wealth. As Allah mentioned in the Quran:

“And [also for] those who were settled in al-Madinah and [adopted] the faith before them. They love those who emigrated to them and find not any want in their breasts of what the emigrants were given but give [them] preference over themselves, even though they are in privation. And whoever is protected from the stinginess of his soul - it is those who will be the successful”. (59:9)

In addition to achieving economic development through maintaining social balance and regional progress equilibrium, Islam also emphasis on sustaining this developmental flow for the next generation as well. Islam encourages parents to set aside sufficient amount of wealth for their children. That is why prophet Muhammad sm said:

“It is better to leave your inheritors well-off than to leave them poor, begging people”. (Bukhari)



Waqf (Endowment)

Definition of Waqf : different Islamic jurists have defined waqf in different way although the main concept remains the same.

It refers to the idea of donating a certain amount of money or real estate for a special purposes or getting benefits from it while keeping the main property intact for the sake of Allah. In this respect, it is amount to *Sadaqah Jariah* or perpetual charity.

The role of Waqf in Muslim society:

Waqf played a vital role in economic and social development as well as to establish justice from the time prophet Muhammad (PBUH). Moreover, in the medieval era during the remarkable advancement of the Muslim world by creating an unique civilization, Waqf was an integral part of that civilization. Even in the current time, some Muslims countries use Qaqf policy adding new aspects in accordance with the current demand.



Outline: Economic System of Islam

- Islamic Modes of Financing
 - Murabaha
 - Mudarabah
 - Ijarah
 - Istisna and Salam
 - Bai Muajjal

Murabaha

-Cost plus Financing

Outline: Islamic Modes of Financing:

- 1. Murabaha
- It is the most frequently exercised mode of Islamic financing which is practically implemented in financial institutions and in other financial transactions.
- It is defined as:
“Murabaha is particular kind of sale where the seller expressly mentions the cost of the sold commodity he has incurred, and sells it to another person by adding some profit”

Mudaraba

- "Sharing the profit and
loss with venture
capital"

- **Mudaraba:** Mudaraba is a special kind of partnership, where one partner gives money to another for investing it in a commercial enterprise. The investment comes from the first partner who is called **Rabul Mall** and the management is exclusively done by Mudarib.
- I) Rabul Mall may specify a specific business and Mudarib have to do that business.
- II) Rabul Mall can contract with more than one person
- III) Islam has not specify the percentage of profit it depends upon the parties mutual consent, but it is prohibited strictly to allocate lump sum amount to any party.
- IV) Any party can terminate the contract only condition is a notice to other party.

Ijara

"to give something on
rent"

- **Ijara:** “It is also a term used in Islamic Fiqh, which means to give some thing on rent”
- Ijara has two different types:
- 1: If a person provide services and wage is given as compensation, in this sense employer is called Mustajir and the employee is called Ajir.
- 2: Other type is regarding the usufruct of assets and properties. So Ijara means “to transfer the usufruct of a particular property to another person in exchange for rent claimed from him”.
- For this concept the term Leasing is used in English, lessor is called Mujir and the lessee is called Mustajir and the rent payable is called Ujrah.

Islamic Modes of Financing – Others

- IJARAH (LEASING)
 - Basic Rules
 - Transferring of usufruct not ownership
 - In leasing an owner transfers its usufruct to another person for an agreed period, at an agreed consideration.
 - Subject of lessee
 - Should be valuable, identified and quantified.

Istisna and Salam
-"forward contracts"

- **Istisn'a:** Istisna is a mode of finance it is defined as: "Kind of sale where a commodity is transacted before it comes into existence".
- We can say in current era of global business a party orders to manufacture a product and for this some time he/she have to pay advance payment. The important point in the case of Istasna that the manufacturer uses its own material for production otherwise the contract will be of Ijara rather than Istisna. Also it is important to fix the price with the approval of concerned people and specification of product should also be settled.
- There are some differences between Istisna and Salam:
- 1) In Istisna manufacturing of commodity is necessary
- 2) In salam full price is paid in advance but in Istisna there is no such condition
- 3) Delivery time is important time of Salam and not of Istisna.

Islamic Modes of Financing – Others

- SALAM
 - Glossary
 - Rabb-us-salam : Buyer
 - Muslam ilaih : Seller
 - Ra's-ul-maal : Cash price
 - Muslam fih : Purchased commodity
 - This mode of financing can be used by the modern banks and financial institutions especially to finance the agricultural sector. In Salam, the seller undertakes to supply specific goods to the buyer at a future date in exchange of an advanced price fully paid at spot. The price is in cash but the supply of purchased goods is deferred.

Istisna

- *Istisna* (also *Bia Istisna* or *Bai' Al-Istisna*) and *Bia-Salam* are "forward contracts"^[108] (customized contracts between two parties to buy or sell an asset at a specified price on a future date).^[109] They are also contracts made before the objects of sale comes into existence,^{[110][111]} and should be as detailed as possible to avoid uncertainty.^{[112][113]}

Bai' Muajjal

"credit sale",

Islamic Modes of Financing – Others

- Bai' Muajjal
 - Bai' Muajjal is the Arabic acronym for “sale on deferred payment basis”. The deferred payment becomes a loan payable by the buyer in a lump sum or installment (as agreed between the two parties). In Bai' Muajjal all those items can be sold on deferred payment basis which come under the definition of capital where quality does not make a difference but the intrinsic value does.
 - Those assets do not come under definition of capital where quality can be compensated for by the price and Shariah scholars have an ‘ijmah’ (consensus) that demanding a high price in deferred payment in such a case is permissible.

Summary

- Islamic Modes of Financing
 - Murabaha
 - Mudarabah
 - Ijarah
 - Istisna and Salam
 - Bai Muajjal

Reference

- Reference book:
 - Dr. Muhammad Imran Ashraf Usmani, (2002), **Meezan Bank's Guide to Islamic Banking**, Darul - Ishaat Urdu Bazar Karachi-1 Pakistan.

Summary

Ibadaats

- Purification
- Prayer/Salah
- **Zakah**
- **Economy In Islam**

• **Islamic Economics**

- Definitions
- Nature and scope
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- the principles and objectives of Islamic economics
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مع السلامة
Thanks